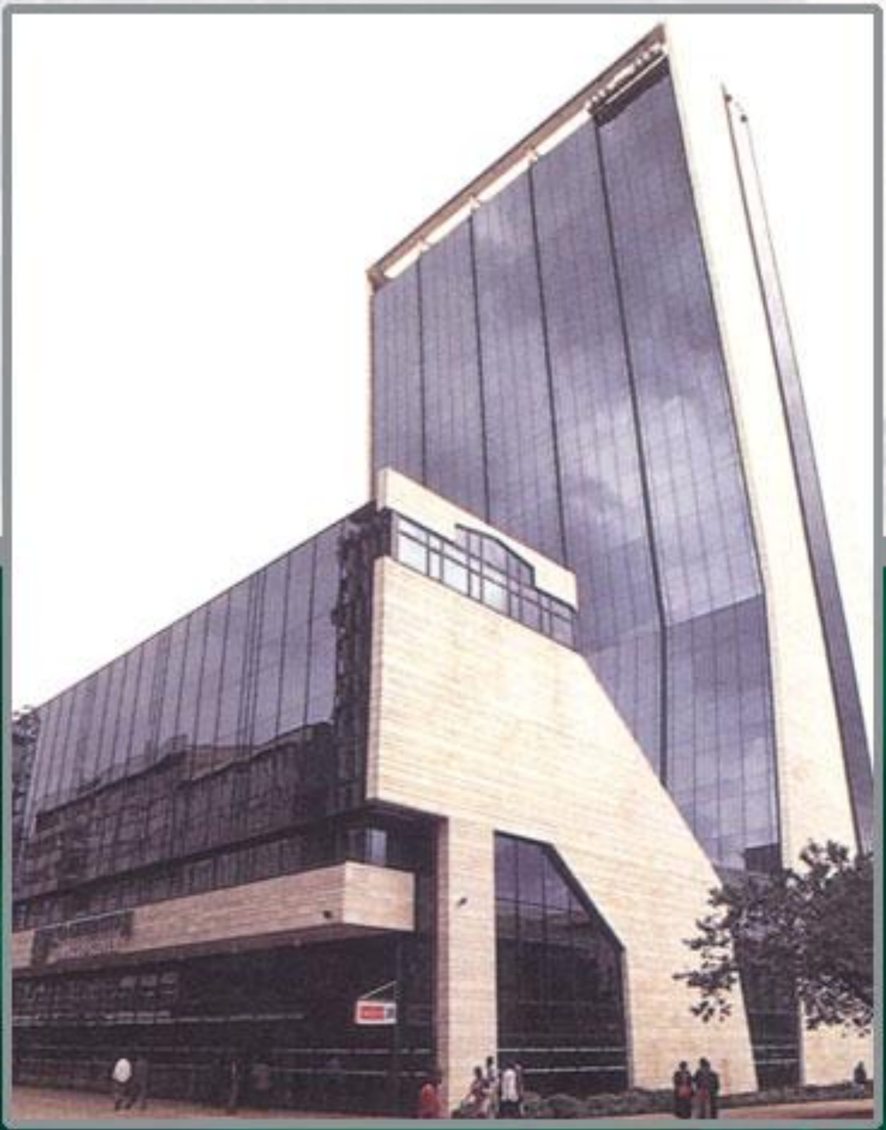
PRESENTATION OF 2012 ANNUAL FINANCIAL RESULTS



Dr. Gideon Muriuki

GROUP MANAGING DIRECTOR & CEO

CO-OP BANK

Profit Before Tax

Co-op Bank is pleased to report a remarkable **Profit Before Tax** of **Kshs.9.97 billion** for the year ended December 31, 2012 representing a commendable 57% growth compared to **Kshs.6.36 billion** recorded in the year 2011.

A Growing Bank

KES Billions	Dec 31, 12	Dec 31, 11	(%) Change
Total Assets	200.8	168.3	19%
Loan Book (net)	119.1	109.4	9%
Government Securities	33.4	22.2	50%
Total Deposits	162.3	142.6	14%
Customer Base	3.2 M	2.3 M	39%
Branch Network	114	94	21%

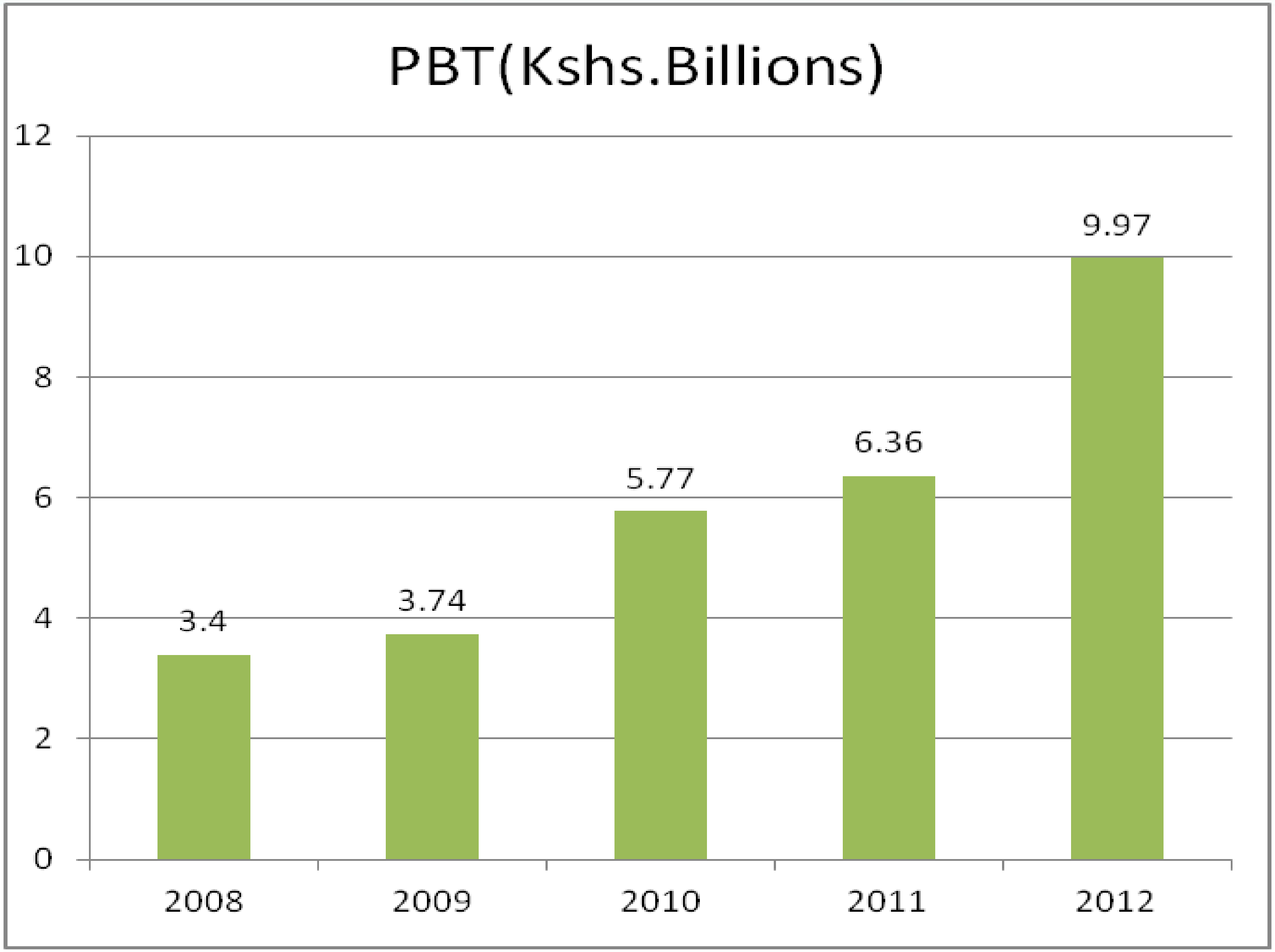
Income Statement

KES Billions	Dec 31, 12	Dec 31, 11	(%) Change	
Interest Income	**24.63**	**16.39**	**50%**	
Interest Expenses	**8.68**	**4.50**	**93%**	
Net Interest Income	**15.95**	**11.89**	**34%**	
Fees and Commissions	**6.5**	**5.44**	**19%**	
FOREX Income	**1.30**	**1.01**	**29%**	
Total Income	**23.76**	**18.34**	**30%**	
Loan Loss Provisions	**1.0**	**0.71**	**11%**	
Operating Expenses	**14.2**	**12.13**	**17%**	
Profit Before Tax	**9.97**	**6.36**	**57%**	
Profit After Tax	**7.71**	**5.36**	**44%**	
Earnings Per Share (EPS)	**1.84**	**1.53**	**17%**	

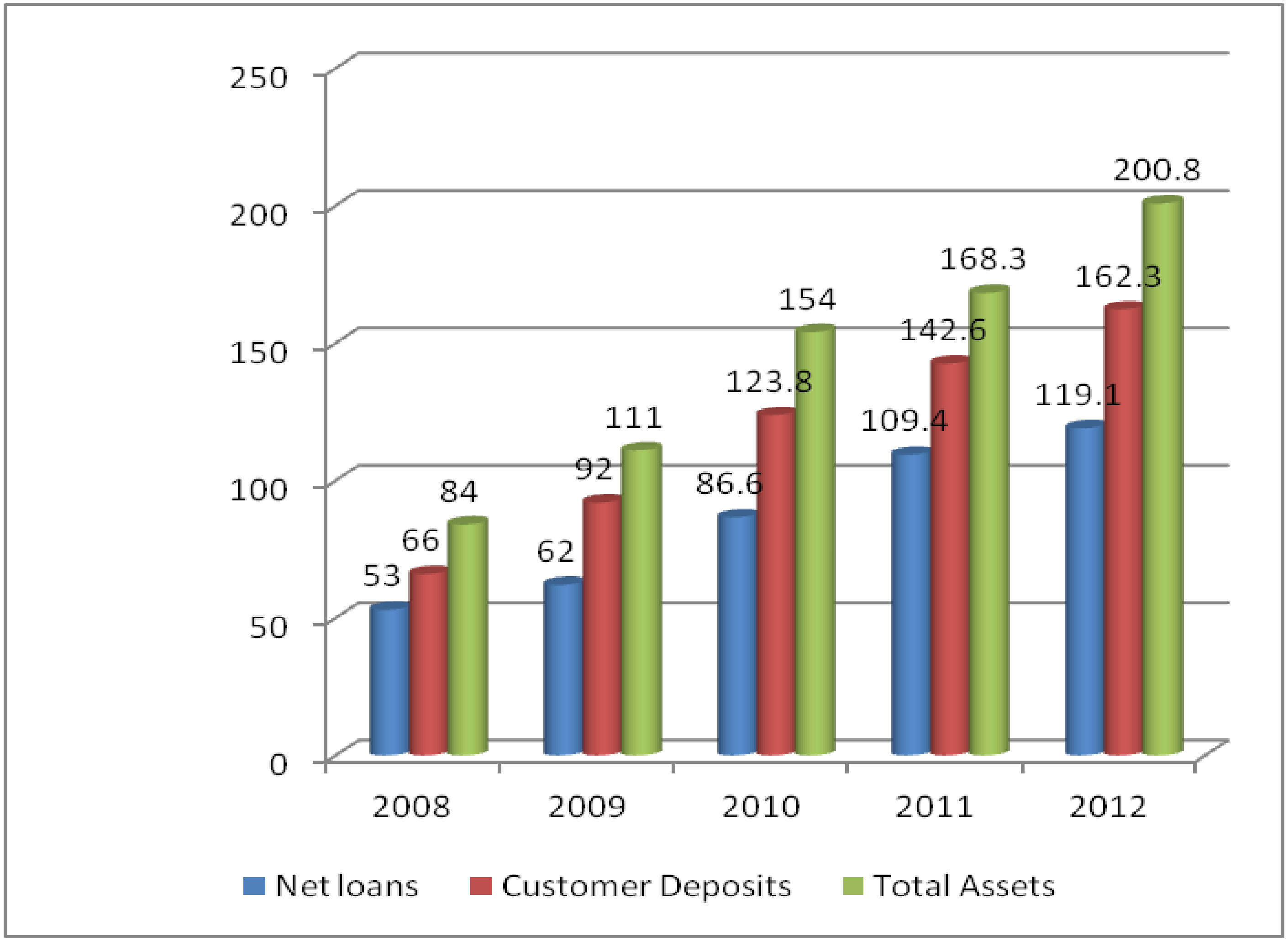
Key issues to highlight

- The performance of the bank has been impressive despite 2012 being a challenging year owing to high interest rates, weakening of the shilling and eventual tightening of the monetary policy, CBR at 18% at one time . Interest rates rose significantly discouraging lending and increasing the cost of funding.
- Our Interest expenses stood at Kshs.8.68 Billion reflecting the higher cost of funds.
- Our fees and commissions grew by 19% thus doing well on the normal business of the bank
- Our Forex income grew by 29%.

Sustainable Growth



Sustainable Growth (Kes. Billions)



Sustainable Growth

- The Bank remained focused on progressive balance sheet and transaction based incomes growth as a key driver of our performance.
- In 2012 the following were the key business drivers that led to our sustained good performance:

Transaction Based Income

Our fees and commissions (mainly ATM, personal and business banking commissions, Agency Banking, M-Banking, Diaspora Banking, Banc-assurance, Forex income and letters of credit) have grown by Ksh.1.4 Billion to KSh.7.8 Billion in 2012 out of the following key initiatives:-

Transaction Based Income

Customer Growth

- We continued an aggressive customer growth campaign aimed at increasing our customer base.
- The all inclusive bank staff initiative grew our customer base from 2.3 million customers to over 3.2 million customers registering over 39% growth.
- Cross selling has remained a key strategy to grow our wallet size from our existing client portfolio
- Growth in customer base ensured increased transactions volumes and hence increased fees and commissions income as noted earlier with total fees, commissions and Forex income at over Kshs7.8 Billion.

Transaction Based Income

County Banking Structure

- Performed a strategic positioning of our outlets and identified a need for additional 57 branches / outlets in line with the new county structure. 7 were opened in 2011 and 20 in 2012 and the rest in 2013.

- The expansions target strategic locations based on their profiles and business potential from our chosen market segments including the shopping malls.

Transaction Based Income

Retail Expansion Growth

Year	2008	2009	2010	2011	2012
No. of branches	53	79	87	94	114
No. of customers	0.7M	1.2M	1.6M	2.3M	3.2M

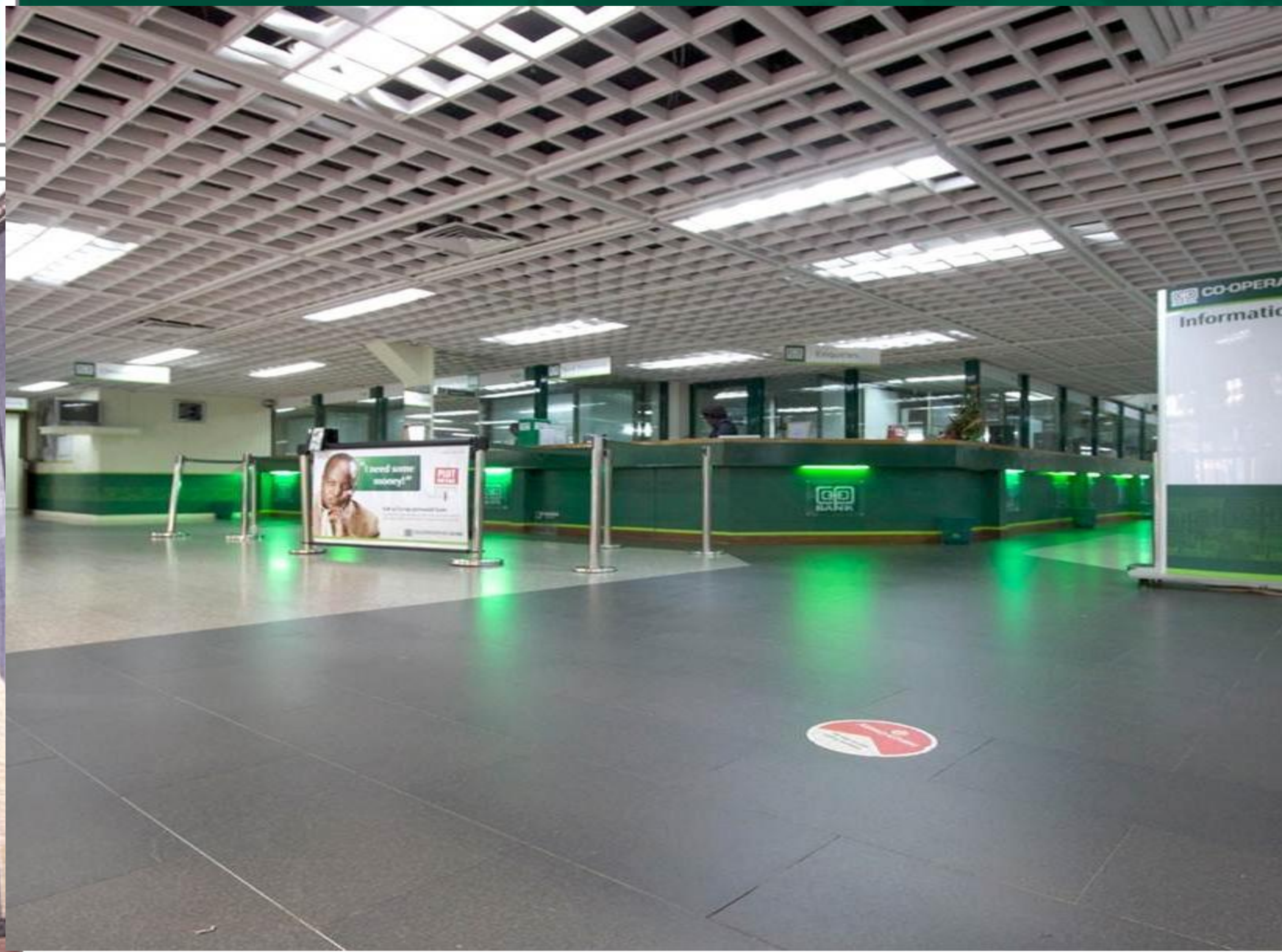


BANK
CO-OPERATIVE
BANK OF KENYA
MoneyGram
International Money Transfer


BANK
CO-OPERATIVE BANK
Taktic
THE No.1
ATM
KAX 309V
KBT 549C

BANK


CO-OPERATIVE BANK
CO-OPERATIVE BANK
ATM
KBT 906F
KBS 218J
KBQ 183E


Information
"I need some money!"


Teller 1
Teller 2
Teller 3
Teller 4

Transaction Based Income

Agency Banking

- We continued to expand our outreach, and take banking services closer to the people, through the Agency Banking Platform “Co-op Kwa Jirani”
- We now have a network of over 5,000 operational agents spread all over the counties.
- The impact has been increased transaction volumes and commissions income.
- We endeavour to operationalize over 10,000 agents by end of 2013.

Transaction Based Income

ATMs network

- We continued investments in ATM network and are now accessible in 492 service points.
- Also invested in over 30 Auto Banking Centre's with deposit taking capabilities, providing our customers a 24 hour banking service.

Transaction Based Income

Front Office Service Activity (FOSA) Project

- Co-operative movement continues to be core market segment. We continue retailing banking services through Sacco’s / Fosa’s to the over 8 million members using this unique model.
- We continue to provide corporate finance capacity support through our subsidiary Co-operative Consultancy and Insurance Agency Limited aimed at increasing the number of Sacco FOSA’s.
- Currently over 460 deposit taking FOSA's are operational with our key focus being to increase our products such as sacco link debit card and payments systems offering through them and maximise commissions and other revenues.

Transaction Based Income

SACCO Link

- This ICT switch enables members of Sacco's cash at our ATM's and goods/services at Visa branded outlets globally.
- The numbers continue to grow now with over 530,000 cards been issued up to 2012 and targeting over 600,000 users by end of 2013
- This is well supported by the increased investment in ATMs and POS's.

Transaction Based Income

Mobile Banking

- We have enhanced our mobile banking service the M-Banking platform now with a client base of over 1 Million customers and growing.
- Our customers are able to access a wide range of services such as:-
  - » Air-time top ups
  - » Money transfer to and from Mpesa
  - » Balance enquiry
  - » Utility payments among others
  - » School Fees payments (Mkaro)
  - » Account to account transfers and alerts

Liability Growth

- Our good liability growth from **Kshs.142.6 billion** to **Kshs.162.3 billion (14%)** was underpinned by :-
    - Growth in number of branches and accounts which increased to over **3.2 million** customers;
    - Sound cross selling strategies
    - A strong Institutional and Government Banking Sector strategy;
    - The strong growth was against high costs of funds as depositors demanded higher interest rates;
- This trend is expected to continue given our continued liability growth campaign**.**

Asset Growth

The Bank continued to grow quality assets with increased investments in a strong credit risk management framework. Our portfolio stood at **KShs.124.3 billion** gross on a well diversified loan portfolio as hereunder:

ASSET BOOK	**KSh million**	**%**
Corporate	25,166	**20.24%**
Mortgage	8,442	**6.79%**
MCU	3,888	**3.12%**
SME	6,423	**5.17%**
Asset Finance	5,823	4.68%
Personal, card&other retail	51,900	**41.75%**
Agri-business	4,844	**3.89%**
Sacco Banking Loans	17,789	**14.36%**
Total (gross)	**124,275**	**100%**

Asset Growth

Corporate and Trade Finance

- Our Corporate and Trade Finance book has continued to grow owing to the strengthened capacity.
- The result has been growth in our Forex income to over **Kshs.1.3 Billion**
- Corporate segment has contributed to significant portfolio's in corporate lending, Letters of Credit and Guarantees leading to tremendous increase in commissions.
- Our commodity finance business is now operational and set to increase our income lines tremendously

Asset Growth

Co-operative Sector Lending

- The bank has strengthened its focus in this key market segment as a means of financial deepening to the unbanked.

- We continue to focus on wholesale banking and financial intermediation. Current programmes in place include; KFW small holder irrigation, AFD funding on renewable energy, East Africa Diary Development Project, Stabex, Financial empowerment by Swedish Co-operative Centre among others all totalling over Kshs5billion.

Credit Risk Management

Prudent Lending

- The bank continued to enforce strict credit risk management especially with high interest rates.
- The bank made adequate provisions for bad and doubtful debts amounting to Kshs.1 billion in 2012.
- Our NPL ratio at 4.99% is within industry average.

Contribution by Subsidiaries

- **Co-op-Trust Investment Services Limited** – The Company realised a profit before tax of **Kshs.56.4 million with** funds under management of Kshs.36 Billion by close of 2012**.**
- **Co-op Consultancy and Insurance Agency (CCIA) Limited** – The Company made a profit before tax of Kshs.11.82 Million compared to Kshs.1.575 Million reported in 2011 mainly due to increased Banc-assurance business with CIC.
- **Kingdom Securities Limited (KSL)** –The Company has made a profit before tax of **Kshs.20.2 million** in 2012.

Cost Rationalisation

- Our branch expansion strategy particularly with county structure of Government remained on course with the acquisition and establishment of 20 outlets in 2012. These are expected to contribute positively to the bottom line in 2013 / 2014
- **<u>All</u>** cost lines continue to be monitored to eliminate waste and avoid budget overruns.

Human Resources

- The key competitive edge for Co-operative Bank group is continued investment in structures and our people.
- The bank has heavily invested in performance management systems that are tied to compensation.
- Both local and overseas training remains key with minimum training hours a target for every staff every year.
- Talent Management has been rolled in all our SBU's and support areas.

Core Banking Software

- The new core-banking software **(Bank Fusion Universal Banking-BFUB)** from *Misys has now been* implemented at a total cost of over **Kshs. 2.5 billion** and is aimed at positioning the Bank for future growth.
- With the new system the bank will accrue immense efficiency and optimisation benefits.
- The new system has given the bank opportunity to enhance other periphery systems for better decision making and performance.

Regional Expansion

- The establishment of Co-operative Bank of Southern Sudan as a joint venture is at an advanced stage the first branch set to open in April 2013.
- A shareholding structure of 51:49 ownership by Co-operative Bank of Kenya and Government of S.Sudan is being implemented.
- Key staff have been appointed to drive business in this region in line with our universal Banking model.

Co-op Bank Foundation

The bank has continued to play its co-operate social responsibility role by assisting the needy with the key focus on Education as hereunder;

- Paying full secondary school fees to over 1,404 students from all over the country
- The foundation targets bright but needy students
- Paying university fees for 56 students per year at University level

Dividend Policy

- In view of the good performance, the Board of Directors has recommended an improved dividend of **50 cents** in 2012 compared to the **40 cents** per share paid in 2011 in line with strategy of deepening Stakeholder value.
- The dividends will be paid on 21st June 2013 to the shareholders registered on the Bank's Register at the close of business on 30th May 2013
- Co-op Bank shares are an **EXCELLENT BUY** with a spot P/E of 7.0

Capitalization

- The bank will then retain **Kshs.5.2 billion** from year 2012 profit
- This will increase the total shareholder funds to over **Kshs.29.8 billion**; a strong capital base to support the ongoing expansion of the bank
- Signed up off shore financial programs as follows; **IFC US$ 60 million (Kshs.5.1 billion), EIB Euro 70 million (Kshs.8 billion) and AFD Euro 10 million (Kshs.1.2 billion)**
- We are in the process of concluding **US$ 50 million (Kshs.4.25 billion) with DEG**

Conclusion

- We are optimistic that the challenging economic environment will ease with inflation and interest rates coming down.
- We sincerely thank all our stakeholders for the continued support over the years that has seen the success of the **Kingdom Bank.**

Thank you
and
may God richly
bless you all.